

cash flow. Now let's look at what the conventional methods of ascertaining value would project in this case.

Assuming both companies were trading at a fair price, Company X would have a P/E of 5 versus Company Y which has a P/E of 7.5.³ The PEG ratio for Company X would be 1 while for Company Y it would be 1.5.⁴ Most investors would look at these two companies and conclude that Company X is a better value than Company Y because you are paying a lower P/E and a lower PEG ratio for the same earnings and the same growth in earnings.

While this assessment is not harmful as both companies are fairly valued at this price, issues arise when we change the prices. For instance, if Company X was trading at Rs 600k while Company Y was trading at Rs 650k, Company X would have a P/E of 6 versus 6.5 for Company Y. The PEG ratios of these two companies would be 1.2 and 1.3 respectively. In this scenario, concluding on the basis of the P/E and PEG ratios that Company X was a better value than Company Y would be wrong. It's actually the contrary.

Company Y was able to justify higher valuations for the same levels of growth and earnings because of its higher 'marginal return on capital'. As the example above clearly highlights, Company Y was able to generate incremental earnings of Rs 5000 in Year 2 by investing Rs 25,000 into the business as compared to Company X which had to invest Rs 50,000 to achieve the same growth. This means that the marginal return on capital for Company Y was 20 per cent versus 10 per cent for Company X. Once this finding comes through, one realizes the flaw in traditional metrics of plainly using earnings as a determinant of 'value'.

Besides the need to factor in the cash generative nature of a business in the valuation methodology, the added flaw in using a PEG ratio or P/E multiple is that these methodologies do NOT adequately capture the longevity of a franchise. For instance, let us assume that the two companies cited in the example above had the same investment requirements and cash generation for the next five years. However, there is a difference in the sustainability of the two firms' competitive strengths. While X can sustain its competitive advantages for ten years, Y can sustain its competitive advantages for twenty